

What was the trade he recommended?

I don't even remember if it was a stock or an option. All that I remember is that he was so sure of it, and it didn't work. Then I started looking at how I might be able to predict the direction of the market.

What did you trade?

I basically traded the OEX options. I only did one stock trade that I can recall. I was away on the day of the October 19, 1987, crash. When I got back the following morning, the market was down even more. I had been watching a tech company that a family friend had recommended, which had run up from \$20 to \$40. I had wanted to buy it much lower, but never did because it just kept going up. On the morning of the 20th, the price had fallen all the way back into the low teens. I called the 800 number for Schwab at least 50 times to try to place my order, and I kept getting a busy signal. Finally I got through. I gave my account number to the woman who answered and said, "I want to buy 100 shares of CHPS."

She said, "Okay, account number so and so you are selling 100 shares of CHPS."

I excitedly answered back, "No, no, buy!"

She said, "You must mean sell. No one is buying!"

And I again said, "No, I want to buy, B-U-Y."

She said in a surprised voice, "Really? Everyone's selling."

I answered, "I'm buying." So she placed the order, and it was filled at \$14.50, after which it rallied sharply. I think what is significant about that trade is that it shows I was willing to be a contrarian even at the very beginning.

On what basis were you doing your option trades?

There, too, I was a contrarian. I used the put/call ratio as my primary indicator. I really liked the logic of it. I also watched the ARMS Index.

Is there something about your personality that is contrarian?

I just can't stand being part of the herd and simply accepting the consensus. I want to evaluate everything on my own.

How did you do in your trading?